

### 3.4.2 Local Economic Development Programme – Project Plans

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| Project 1: COJ Broad-Based Livelihoods Programme for Production and Income Generation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Classification: Poverty Alleviation and Income Generation                                          |
| Location: City of Johannesburg, Region D, F                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Dates: Jan 2018 – Dec 2022                                                                         |
| Responsible entity: ERGO mining                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Role players: Implementation company, City of Johannesburg Municipality, Department of Agriculture |
| <p><b>Background:</b></p> <p>Based on the tremendous impact that ERGO Mining has achieved in Ekurhuleni with the Broad-Based Livelihoods Programme, ERGO intends replicating this programme in the western regions of its operations, with a focus on <b>Production and Income Generation</b>.</p> <p>The Broad-Based Livelihoods Programme is a poverty alleviation programme which deliberately follows a rapid, stepwise approach to maximise participation (broad-based) and easy entry for all interested people at any level in the socio-economic pyramid (inclusive), and which enables a person or household to systematically improve as:</p> <ul style="list-style-type: none"> <li>• “producers” to attain food security and stability;</li> <li>• “income generators” by selling, saving and adding value;</li> <li>• “entrepreneurs” by getting better at managing the business side of their production and sales;</li> <li>• “employers” where they start to pay family, neighbours and others to work for or with them</li> </ul> <p>Entry into the BBL programme is possible at any time, and at any of these levels, and the multi-year programme design enables participation to both <b>scale out</b> (enabling more participants to enter the BBL) and <b>scale up</b> (enabling participants to progress from one level to the next, at their own preferred pace).</p> <p><b>The BBL Horticulture component is the key</b> that empowers households and people to achieve intensive production of healthy nutritious food right at their homes for their families, entirely free from dependency on other organisations and handouts. Through the BBL programme, families and child malnutrition can be avoided, making full physical and cognitive development possible, with drastically improves lifelong earning prospects. The BBL progressively encourages and unlocks the greater entrepreneurial potential for households through teaching them to enhance their production and planning for income generation purposes, and then transcend into more intensive use of appropriate business tools to build profitability.</p> |                                                                                                    |

**Entrepreneurship** is a strong and viable strategy to overcome the desperate economic situation in South Africa. Youth and adults alike benefit from the BBL Programme, which creates opportunity for self-employment through household agriculture business, and through the development of existing and aspiring entrepreneurs into self-sustaining, viable local economic enterprises.

The ERGO's BBL Programme has a **proven track record** in impacting large numbers of households and informal and formal businesses. It is conducted in true partnership with local authorities and community leaders, who welcome the intervention because it excludes no one, regardless of age, education, income level or resources. The programme diligently avoids creating expectations, but deliberately encourages people to rekindle their aspirations; thereby cultivating a culture of self-help and resourcefulness.

### Annual Deliverables

#### Year 1-5:

1. Identification and engagement with all relevant role players and stakeholders for endorsement and support
2. Mass mobilisation of the target community to participate in the programme
3. Learning content is presented in hands-on learning sessions, within a Learning Group of 10 – 15 households. Learning Groups are established across and accessible to interested communities based on the response from the mass mobilisation. Learning content includes:
  - a. Importance of balanced nutrition and medium-term planning for household production.
  - b. Trench-bed properties and preparation.
  - c. Soil fertility management, liquid manure production and mulching.
  - d. Crop rotation and companion planting.
  - e. Plant health, pest and disease management.
  - f. Marketing and farming business.
  - g. Fruit tree planting, bag-gardening and no-till maize production.
4. Establishment of support networks (e.g. peer to peer support groups/ "circles of friends", network circles)
5. Ongoing monitoring and mentoring of participants in the practical application of methods, techniques and principles.
6. The improved food security experienced by participating households in the BBL Programme, leads to a constant stream of new requests for participation from new households, both in existing and new areas. Therefore, the Programme is rolled out in a structured manner through the establishment and scheduling of new Learning Groups in response to demand on the ground, for the duration of the Programme period.
7. For every new Learning Group, these workshops and follow-up actions continue for a period of at least 6 months.

**Outcomes / KPAs / KPIs:**

- All community members who are interested can attend the programme (broad-based, open to all, and non-exclusive).
- Participants who attend the programme and apply what they have learnt, have a greater understanding of nutrition and how to monitor their micronutrient intake.
- Participants have the knowledge and skills required to start producing a variety of vegetables at their households using organic methods and with minimal input costs.
- Participants can barter or sell excess produce, and begin to record their sales and savings.
- Participants can apply the basic business principles to non-agricultural goods or services they may produce.
- Stronger social cohesion is brought about through the development of support circles, networks, and potential business relationships.
- There is a resulting shift in the “dependency” mindset, enabling participants to take action, instead of feeling stuck unless the government or someone else acts on their behalf.

**Number and classification of jobs:**

The BBL Programme allows anyone (even discouraged work seekers) to enter or re-enter the active economy by beginning to produce goods (e.g. vegetables, chickens, eggs etc) or services (e.g. mechanical, electrical, IT etc). It stimulates entrepreneurial activity, which is entirely self-driven (not artificially created or forced). The number of income earning opportunities created depends on the community themselves.

**Exit Strategy:**

ERGO's broad-based Livelihoods Programme for **Programme for Production and Income Generation** intentionally avoids building dependence on ERGO or its service providers. From project commencement, participants are facilitated through the process to be able to make a start and to improve their production and income earning activities without having to rely on handouts or funders. Through this approach, the need for an exit strategy is deliberately avoided, as the principle of sustainability is built into the design of the programme at every level, from start to end.

**Financial Contributions:**

| 2018                                                     | 2019                                                     | 2020                                                     | 2021                                                     | 2022                                                     |
|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|
| R 1 800 000<br>(implemented together with Project 2 & 3) | R 1 400 000<br>(implemented together with Project 2 & 3) | R 1 400 000<br>(implemented together with Project 2 & 3) | R 1 200 000<br>(implemented together with Project 2 & 3) | R 1 000 000<br>(implemented together with Project 2 & 3) |

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| <b>Project 2: COJ Broad-Based Entrepreneurship Programme</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | <b>Classification: Poverty Alleviation and Income Generation</b>               |
| <b>Location: City of Johannesburg, Region D, F</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <b>Dates: Jan 2018 – Dec 2022</b>                                              |
| <b>Responsible entity: ERGO mining</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <b>Role players: Implementation company, City of Johannesburg Municipality</b> |
| <p><b>Background:</b></p> <p>The latest Census data indicates poverty levels of 45.45% in the City of Joburg Municipal area. 21.7% of the working age population are jobless. South Africa's economic growth has been lower than anticipated, indicating further future job losses, and lower-than-expected new employment opportunities.</p> <p>ERGO recognises that <b>entrepreneurship</b> is a strong and viable strategy to overcome the desperate economic situation.</p> <p>ERGO's <b>Entrepreneurship Programme</b> is broad-based – it is open to all individuals that have ever thought of starting a business, or who are already trading and interested in improving their profitability.</p> <p>Many "business development" programmes have minimum requirements for participation, thereby excluding many poor and uneducated community members who may have been interested in and benefited from the programme. The ERGO Broad-Based <b>Entrepreneurship Programme</b> is designed to encourage and strengthen multitudes of informal and formal businesses through simple, straightforward business tools to create personal and business budgets, track sales and savings, and analyse the profit and loss of the business. ERGO's Broad-Based <b>Entrepreneurship Programme</b> is accessible to all, regardless of social level.</p> <p>The ERGO Broad-Based <b>Entrepreneurship Programme</b> is applicable to existing and aspiring businesses, agricultural and non-agricultural, and equips aspiring entrepreneurs and existing business owners with practical tools for:</p> <ul style="list-style-type: none"> <li>• budget planning and business income targets,</li> <li>• record-keeping on sales and progress against savings targets, and</li> <li>• capturing and analysis of profit and loss to enable every participating business to systematically address their own identified areas for improved profitability.</li> </ul> <p>During the first stage of the programme, ERGO will engage the relevant community and municipal stakeholders to obtain their buy-in and endorsement. Through these networks and relationships</p> |                                                                                |

ERGO will mobilise community members to participate in the programme. ERGO will continue to engage with stakeholders throughout the programme to build long term sustainability.

Throughout the programme, the ERGO team will provide mentoring and monitoring of the participants to encourage the correct application of tools and techniques. ERGO will facilitate participants to grow their own networks for information sharing, support and sustainability; and of suppliers and markets.

#### **Annual Deliverables:**

##### **Year 1-5:**

1. Identification and engagement with all relevant role players and stakeholders for endorsement and support
2. Mass mobilisation of aspiring and existing entrepreneurs to participate in the programme
3. Presentation of Entrepreneurship Development workshops and specific follow-up actions in response to the needs of participating entrepreneurs and business owners, covering aspects such as:
  - a. Business tools for starting your own business, or enhancing your existing business
  - b. budget planning and business income targets
  - c. record-keeping on sales and progress against savings targets
  - d. capturing and analysis of profit and loss
  - e. simple business administration and planning
  - f. identifying and supplying immediate markets
4. Establishment of support networks (e.g. peer to peer support groups, business network circles)
5. Ongoing monitoring and mentoring of participants in the practical application of tools, tactics, techniques and principles
6. The improved profitability experienced by participating businesses in the Broad-Based Entrepreneurship Programme, leads to a constant stream of new requests for participation from aspiring and existing businesses, both in existing and new areas. Therefore, the Programme is rolled out in a structured manner through the establishment and scheduling of new Learning Groups in response to demand on the ground, for the duration of the Programme period
7. For every new Learning Group, these workshops and follow-up actions continue for a period of at least 6 months

#### **Outcomes / KPAs / KPIs:**

- Participants of all ages and experience and discover financial and business management insights through the use of these simple but powerful tools. This develops confidence on how to address current and future elements of profitability.
- Participants who aspire to start a business are able to quickly start their own small businesses using the tools they've learnt.
- Participants who have existing businesses are able to improve their growth, profitability, management and sustainability of their businesses.
- Participants are better able to identify their business strengths, weaknesses, opportunities and threats.
- Participants are able to identify and capitalise on business opportunities and adapt their businesses to changing market demands.



- Local businesses (no matter how small) contribute to the local economy, replacing the need for importing the goods or services from outside the community, thereby growing that local economy.

#### Number and classification of jobs:

ERGO's Entrepreneurship Programme does not cater only for a few selected individuals, but is open to all, and encourages every participant to go as far and as fast as they want.

#### Exit Strategy:

ERGO's broad-based Entrepreneurship Programme intentionally avoids building dependence on ERGO or its service providers. From project commencement, participants are facilitated through the process to be able to make a start and to improve their businesses without having to rely on handouts or funders. Through this approach, the need for an exit strategy is deliberately avoided, as the principle of sustainability is built into the design of the programme at every level, from start to end.

#### Financial Contributions:

| 2018                                                     | 2019                                                     | 2020                                                     | 2021                                                     | 2022                                                     |
|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|
| R 1 800 000<br>(implemented together with Project 1 & 3) | R 1 400 000<br>(implemented together with Project 1 & 3) | R 1 400 000<br>(implemented together with Project 1 & 3) | R 1 200 000<br>(implemented together with Project 1 & 3) | R 1 000 000<br>(implemented together with Project 1 & 3) |

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| <b>Project 3: COJ Broad-Based Personal and Career Development Programme</b> | <b>Classification: Community Upliftment</b>                                    |
| <b>Location: City of Johannesburg, Region D, F</b>                          | <b>Dates: Jan 2018 – Dec 2022</b>                                              |
| <b>Responsible entity: ERGO mining</b>                                      | <b>Role players: Implementation company, City of Johannesburg Municipality</b> |

**Background:**

High unemployment rates, especially amongst the youth, coupled with poverty, lack of access to further education and training, leaves many South Africans feeling stuck without opportunities and without purpose, resulting in despondency and often leading to negative social behaviours and the abuse of a range of substances like alcohol and drugs.

ERGO and the City of Joburg have identified a need for intervention with youth and young adults in the poorer regions of the metro. ERGO has designed a community upliftment project focused on Personal and Career Development.

Through the Personal and Career Development Programme, participants are introduced to structured methods to analyse the areas for improvement in their lives, to develop and capture a personal vision for their future and to map out a pathway and required behaviours to systematically pursue and achieve their vision.

The ERGO Personal and Career Development Programme uses materials from a variety of sources, as they suit the needs of the participants, including programmes such as Career Build ([www.careerbuild.org.za](http://www.careerbuild.org.za)) and Map4Life (<http://www.map4life.com>)

The applied tools may include:

- Launchpad; designing a vision for your life
- Goal setting and action planning; developing a Master Action Plan (MAP)
- Exploring alternative careers, skills development and entrepreneurship option

**Annual Deliverables****Year 1-5:**

1. Identification and engagement with all relevant role players and stakeholders for endorsement and support
2. Mass mobilisation of youth and employed young adults to participate in the programme
3. Presentation of Personal and Career Development workshops covering topics such as
  - a. Designing a vision for your life
  - b. Goal setting and action planning
  - c. Exploring alternative careers, skills development and entrepreneurship options
  - d. Formulating Career Plans based on participants talent, potential and aspirations
  - e. Taking action and linking into the right professional networks and study programmes to achieve my career goals
4. Establishment of a support network (e.g. peer to peer support groups, network circles)
5. Ongoing monitoring and mentoring of participants in the practical application of tactics, techniques and principles
6. The improved life focus and systematic progress experienced by youth participating in the Broad-Based Personal and Career Development Programme, leads to a constant stream of new requests from potential new participants, both in existing and new areas. Therefore,

the Programme is rolled out in a structured manner through the establishment and scheduling of new Learning Groups in response to demand on the ground, for the duration of the Programme period.

7. For every new Learning Group, these workshops and follow-up actions continue for a period of at least 3 months.
8. Linking participants into professional networks with people in their desired career direction who can become their mentors.

#### Outcomes / KPAs / KPIs:

- Any and all community members who are interested, are able to attend the programme (broad-based, open to all, and non-exclusive)
- Participants who attend the programme and apply what they have learnt, have clearer vision for their lives, goals on how to get there, and a step-by-step plan on how to achieve their goals
- Stronger social cohesion through the development of support circles, networks, and potential business relationships
- Youth have a greater sense of control over their decisions, actions and destiny
- Youth have improved ability to make good decisions
- Shift in the “dependency” mindset, enabling participants to take action, instead of feeling stuck unless the government or someone else acts on their behalf
- Shift in the victim mentality, where participants feel empowered to effect change
- Development of greater “personal resilience” to life’s challenges
- Formulation of Career Plans, based on participants’ application of the abovementioned learnings and professional mentorship support

#### Number and classification of jobs:

No direct jobs created for participants, but rather preparing youth to be employable, find good jobs and even stimulation of local economic activity through entrepreneurship.

#### Exit Strategy:

No exit strategy is required, as this project deliberately builds independence, self-confidence, problem-solving and self-efficacy.

#### Financial Contributions:

| 2018                                                     | 2019                                                     | 2020                                                     | 2021                                                     | 2022                                                     |
|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|----------------------------------------------------------|
| R 1 800 000<br>(implemented together with Project 1 & 2) | R 1 400 000<br>(implemented together with Project 1 & 2) | R 1 400 000<br>(implemented together with Project 1 & 2) | R 1 200 000<br>(implemented together with Project 1 & 2) | R 1 000 000<br>(implemented together with Project 1 & 2) |



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| Project 4: EMM Broad-Based Livelihoods Programme (new communities)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Classification: Poverty Alleviation and Income Generation                                                                                               |
| Location: Ekurhuleni Metro Municipality                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Dates: Jan 2018 – Dec 2022                                                                                                                              |
| Responsible entity: ERGO mining                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Role players: Implementation company, Ekurhuleni Metropolitan Municipality (Department of Social Development, Department of Local Economic Development) |
| <p><b>Background:</b></p> <p><b>Extension of the Programme to new ERGO communities:</b></p> <p>Due to the success of the Broad-Based Livelihoods Programme (BBL) in the ERGO communities of the East Rand, many new communities, supported by EMM have requested the extension of the BBL Programme focused on <b>Production and Income Generation</b> into new ERGO communities. The extension will be to primary communities surrounding ERGO's reclamation activities and operational footprint e.g. Grootvlei.</p> <p>The Broad-Based Livelihoods Programme is a poverty alleviation programme which deliberately follows a rapid, stepwise approach to maximise participation (broad-based) and easy entry for all interested people at any level in the socio-economic pyramid (inclusive) and enables a person or household to systematically improve as:</p> <ul style="list-style-type: none"> <li>• “producers” to attain food security and stability;</li> <li>• “income generators” by selling, saving and adding value;</li> <li>• “entrepreneurs” by getting better at managing the business side of their production and sales;</li> <li>• “employers” where they start to pay family, neighbours and others to work for or with them</li> </ul> <p>Entry into the BBL programme is possible at any time, and at any of these levels, and the multi-year programme design enables participation to both <b>scale out</b> (enabling more participants to enter the BBL) and <b>scale up</b> (enabling participants to progress from one level to the next, at their own preferred pace).</p> <p><b>The BBL Horticulture component is the key</b> that empowers households and people to achieve intensive production of healthy nutritious food right at their homes for their families, entirely free from dependency on other organisations and handouts. Through the BBL programme, families and child malnutrition can be avoided, making full physical and cognitive development possible, with drastically improved lifelong earning prospects. The BBL progressively encourages and unlocks the greater entrepreneurial potential for households through teaching them to enhance their production and planning for income generation purposes, and then transcend into more intensive use of appropriate business tools to build profitability.</p> |                                                                                                                                                         |

**Entrepreneurship** is a strong and viable strategy to overcome the desperate economic situation in South Africa. Youth and adults alike benefit from the BBL Programme, which creates opportunity for self-employment through household agriculture business, and through the development of existing and aspiring entrepreneurs into self-sustaining, viable local economic enterprises.

The ERGO's BBL Programme has a **proven track record** in impacting large numbers of households and informal and formal businesses. It is conducted in true partnership with local authorities and community leaders, who welcome the intervention because it excludes no one, regardless of age, education, income level or resources. The programme diligently avoids creating expectations; but deliberately encourages people to rekindle their aspirations; thereby cultivating a culture of self-help and resourcefulness.

**Scaling Up** – One of the key focus areas for this programme is to work closely with the participants from the previous BBL programme to higher levels of productivity, expansion and business development. This will be for producers who wish to begin generating income from their produce, and for those already earning an income to expand and intensify their efforts, for greater economic benefit. The support provided will be through further training, mentoring and money-making infrastructure solutions.

#### Annual Deliverables

##### Year 1-5:

1. Identification and engagement with all relevant role players and stakeholders for endorsement and support
2. Mass mobilisation of the target community to participate in the programme
3. Learning content is presented in hands-on learning sessions, within a Learning Group of 10 – 15 households. Learning content includes:
  1. Importance of balanced nutrition and medium-term planning for household production.
  2. Trench-bed properties and preparation.
  3. Soil fertility management, liquid manure production and mulching.
  4. Crop rotation and companion planting.
  5. Plant health, pest and disease management.
  6. Marketing and farming business.
  7. Fruit tree planting, bag-gardening and no-till maize production.
4. Establishment of support networks (e.g. peer to peer support groups/ "circles of friends", network circles)
5. Ongoing monitoring and mentoring of participants in the practical application of methods, techniques and principles.
6. The improved food security experienced by participating households in the BBL Programme, leads to a constant stream of new requests for participation from new households, both in existing and new areas. Therefore, the Programme is rolled out in a structured manner through the establishment and scheduling of new Learning Groups in response to demand on the ground, for the duration of the Programme period.

7. For every new Learning Group, these workshops and follow-up actions continue for a period of at least 6 months.
8. Enabling further scaling up of high flyers from the previous BBL to achieve higher levels of production and business expansion.
9. Engage with key stakeholders (government, markets and corporates) to establish partnerships to support the scaling up of ERGO producers.

#### Outcomes / KPAs / KPIs:

- Any and all community members who are interested, are able to attend the programme (broad-based, open to all, and non-exclusive)
- Participants who attend the programme and apply what they have learnt, have a greater understanding of nutrition and how to monitor their micronutrient intake.
- Participants have the knowledge and skills required to start producing a variety of vegetables at their households with minimal input costs.
- Participants are able to barter or sell excess produce, and begin to record their sales and savings
- Participants are able to apply the basic business principles to non-agricultural goods or services they may produce
- Stronger social cohesion through the development of support circles, networks, and potential business relationships
- Shift in the “dependency” mindset, enabling participants to take action, instead of feeling stuck unless the government or someone else acts on their behalf
- Scaling up of producers to higher levels of production, business and sustainability.

#### Number and classification of jobs:

The BBL Programme allows anyone (even discouraged work seekers) to enter or re-enter the active economy by beginning to produce goods (e.g. vegetables, chickens, eggs etc) or services (e.g. mechanical, electrical, IT etc). It stimulates entrepreneurial activity, which is entirely self-driven (not artificially created or forced). The number of income earning opportunities created depends on the community themselves.

#### Exit Strategy:

ERGO's broad-based Livelihoods Programme for **Programme for Production and Income Generation** intentionally avoids building dependence on ERGO or its service providers. From project commencement, participants are facilitated through the process to be able to make a start and to improve their production and income earning activities without having to rely on handouts or funders. Through this approach, the need for an exit strategy is deliberately avoided, as the principle of sustainability is built into the design of the programme at every level, from start to end.

#### Financial Contributions:

| 2018                         | 2019                         | 2020                         | 2021                         | 2022                       |
|------------------------------|------------------------------|------------------------------|------------------------------|----------------------------|
| R 1 600 000<br>(implemented) | R 1 400 000<br>(implemented) | R 1 200 000<br>(implemented) | R 1 000 000<br>(implemented) | R 500 000<br>(implemented) |

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|--------------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| together with Project 5) | together with Project 5) | together with Project 5) | together with Project 5) | together with Project 5) |
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| Project 5: EMM Local Business Development Programme                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Classification: Poverty Alleviation and Income Generation                                                                                                     |
| Location: Current and new communities of the East Rand operations                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Dates: Jan 2018 – Dec 2022                                                                                                                                    |
| Responsible entity: ERGO mining                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Role players: Implementation company, Ekurhuleni Metropolitan Municipality (EMM) (Department of Social Development, Department of Local Economic Development) |
| <p><b>Background:</b></p> <p>The latest Census data indicates poverty levels of 27.34% in the EMM. 22% of the working age population are jobless. South Africa's economic growth has been lower than anticipated, indicating further future job losses, and lower than expected new employment opportunities.</p> <p>ERGO recognises that <b>entrepreneurship</b> is a strong and viable strategy to overcome the desperate economic situation. Many new entrepreneurs emerged from the Broad-Based Livelihoods Agricultural Programme previously implemented in the East Rand, and require further facilitation to stabilise, and build greater consistency in their production of goods or services, and customer base.</p> <p>ERGO's <b>Entrepreneurship Programme</b> is broad-based – it is open to any and all individuals that have ever thought of starting a business, or who are already trading and interested in improving their profitability (including those from the BBL programme)</p> <p>Many "business development" programmes have minimum requirements for participation, thereby excluding many poor and uneducated community members who may have been interested in and benefited from the programme. The ERGO Broad-Based <b>Entrepreneurship Programme</b> is designed to encourage and strengthen multitudes of informal and formal businesses through simple, straightforward business tools to create personal and business budgets, track sales and savings, and analyse the profit and loss of the business. ERGO's Broad-Based <b>Entrepreneurship Programme</b> is accessible to all, regardless of social level.</p> |                                                                                                                                                               |

The ERGO Broad-Based Entrepreneurship Programme is applicable to existing and aspiring businesses, agricultural and non-agricultural, and equips aspiring entrepreneurs and existing business owners with practical tools for:

- budget planning and business income targets,
- record-keeping on sales and progress against savings targets, and
- capturing and analysis of profit and loss to enable every participating business to systematically address their own identified areas for improved profitability.

During the first stage of the programme, ERGO will engage the relevant community and municipal stakeholders to obtain their buy-in and endorsement. Through these networks and relationships ERGO will mobilise community members to participate in the programme. ERGO will continue to engage with stakeholders throughout the programme to build long term sustainability.

Throughout the programme, the ERGO team will provide mentoring and monitoring of the participants to encourage the correct application of tools and techniques. ERGO will facilitate participants to grow their own networks for information sharing, support and sustainability; and of suppliers and markets.

#### **Annual Deliverables:**

##### **Year 1-5:**

1. Identification and engagement with all relevant role players and stakeholders for endorsement and support
2. Mass mobilisation of aspiring and existing entrepreneurs to participate in the programme
3. Presentation of Entrepreneurship Development workshops and specific follow-up actions in response to the needs of participating entrepreneurs and business owners, covering aspects such as:
  - a. budget planning and business income targets,
  - b. record-keeping on sales and progress against savings targets, and
  - c. capturing and analysis of profit and loss
4. Establishment of support networks (e.g. peer to peer support groups, business network circles)
5. Ongoing monitoring and mentoring of participants in the practical application of tools, tactics, techniques and principles.
6. The improved profitability experienced by participating businesses in the Broad-Based Entrepreneurship Programme, leads to a constant stream of new requests for participation from aspiring and existing businesses, both in existing and new areas. Therefore, the Programme is rolled out in a structured manner through the establishment and scheduling of new Learning Groups in response to demand on the ground, for the duration of the Programme period.
7. For every new Learning Group, these workshops and follow-up actions continue for a period of at least 6 months.



**Outcomes / KPAs / KPIs**

- Participants of all ages and experience and discover financial and business management insights through the use of these simple, but powerful tools, which develops confidence on how to address current and future elements of profitability.
- Participants who aspire to start a business, are able to quickly start their own small businesses using the tools they've learnt.
- Participants who have existing businesses, are able to improve their growth, profitability, management and sustainability of their businesses.
- Participants are better able to identify their business strengths, weaknesses, opportunities and threats.
- Participants are able to identify and capitalise on business opportunities and adapt their businesses to changing market demands.
- Local businesses (no matter how small) contribute to the local economy, replacing the need for importing the goods or services from outside the community, thereby growing that local economy.

**Number and classification of jobs:**

ERGO's Entrepreneurship Programme does not cater only for a few selected individuals, but is open to all, and encourages every participant to go as far and as fast as they want.

**Exit Strategy:**

ERGO's broad-based Entrepreneurship Programme intentionally avoids building dependence on ERGO or its service providers. From project commencement, participants are facilitated through the process to be able to make a start and to improve their businesses without having to rely on handouts or funders. Through this approach, the need for an exit strategy is deliberately avoided, as the principle of sustainability is built into the design of the programme at every level, from start to end.

**Financial Contributions:**

| 2018                                                 | 2019                                                 | 2020                                                 | 2021                                                 | 2022                                               |
|------------------------------------------------------|------------------------------------------------------|------------------------------------------------------|------------------------------------------------------|----------------------------------------------------|
| R 1 600 000<br>(implemented together with Project 4) | R 1 400 000<br>(implemented together with Project 4) | R 1 200 000<br>(implemented together with Project 4) | R 1 000 000<br>(implemented together with Project 4) | R 500 000<br>(implemented together with Project 4) |

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                |                                      |      |      |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------|------|------|
| Project 6: EMM Infrastructure project                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                | Classification: Infrastructure       |      |      |
| Location: Within the impacted communities of the ERGO operation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                | Dates: 2019/2020                     |      |      |
| Responsible entity: ERGO mining                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                | Role players: EMM, service provider. |      |      |
| <b>Background:</b><br>ERGO acknowledges their responsibility in giving back to the communities in which they operate. ERGO, through its SLP and Corporate Social Responsibility programmes have invested in the infrastructure needs of local clinics, schools and public amenities. During this SLP, ERGO wishes to continue its investment into the ERGO communities on the East Rand through the provision of equipment or building construction/upgrades for a local school or clinic (or the likes). ERGO will work closely with the EMM to identify a suitable project as the need arises, and will make the investment directly to the beneficiary. |                |                                      |      |      |
| <b>Annual Deliverables:</b><br>Provision of equipment or a building construction / upgrade, as is needed by a local school or clinic within one of ERGO's target communities.                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                |                                      |      |      |
| <b>Outcomes / KPAs / KPIs:</b><br>Through ERGO's investment, the infrastructure or equipment needs of a local school or clinic (or similar) will be met.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                |                                      |      |      |
| <b>Number and classification of jobs:</b><br>Temporary job opportunities may be created, if a construction or upgrade project is selected.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                |                                      |      |      |
| <b>Exit Strategy:</b><br>In working closely with the EMM, the handover or exit strategy will be arranged with them, as it relates to the final project selection.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |                                      |      |      |
| <b>Financial Contributions:</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                |                                      |      |      |
| 2018                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 2019           | 2020                                 | 2021 | 2022 |
| 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | R 3 000 000,00 | 0                                    | 0    | 0    |